EXECUTIVE SUMMARY

A. Introduction

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

The audit covered the accounts and operations of the Municipality of Gonzaga for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018 were P523,664,396.78, P76,794,814.48 and P446,869,582.30 with an increase in assets and government equity of 5.93% and 8.69%, respectively, and decrease in total liabilities of 10.15%, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P199,052,338.47 and P169,854,711.83 which increased by 6.16% and 8.19%, respectively, from last year's figures.

	2018	2017	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	523,664,396.78	492,632,754.13	31,031,642.65	5.93%
Liabilities	76,794,814.48	84,586,648.42	(7,791,833.94)	(10.15%)
Government Equity	446,869,582.30	408,046,105.71	38,823,476.59	8.69%
Financial Performance				
Income	199,052,338.47	186,798,684.52	12,253,653.95	6.16%
Expenses	169,854,711.83	154,702,893.96	15,151,817.87	8.92%
Appropriations, Allotments and Obligations				
Appropriations-Current	234,694,017.90	206,243,016.91	28,451,000.99	12.12%
Appropriations-Continuing		34,672,230.07		
Allotments-Current	234,694,017.90	206,243,016.91	28,451,000.99	12.12%
Allotments-Continuing		34,672,230.07		

	2018	2017	Increase (Decrease)	
			Amount	Percentage
Obligations-Current	184,331,756.66	170,422,339.23	13,909,417.43	7.55%
Obligations-Continuing		12,416,218.39		

C. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the financial statements due to the non-compliance of the Municipality with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 pursuant to Item IX of COA Circular No. 2015-008 dated November 23, 2015, thus affecting the reliability and accuracy of Local Road and Road Network System account amounting to P65,573,407.91. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

D. Summary of Significant Audit Observations and Recommendations

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as required under Item IX of COA Circular No. 2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account amounting to P65,573,407.91 as at December 31, 2018.

   We recommended that management strictly comply with the guidelines embodied in the COA Circular No. 2015-008 dated November 25, 2015 by ensuring the following:

   a. General Service Officer maintains and updates a Local Road Inventory and Road Map and keep a complete Local Road Network Property Card for all road and its component;
   b. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects;
   c. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account, keeps and maintains subsidiary records for roads and road components for every road network and makes the required disclosure in the Notes to Financial Statement.

2. Various expenditures amounting to P7,057,210.60 were classified as "Other Maintenance and Operating Expenses" account instead of the appropriate asset or expense accounts contrary to Annexes A and B of the COA Circular No. 2015-009 dated December 1, 2015 resulting in the overstatement of the "Other Maintenance

and Other Operating Expenses" account and understating asset and other appropriate expense accounts in the financial statements.

We recommended that the Municipal Accountant refrain from recording expenses under the "Other Maintenance and Operating Expenses" account for which specific accounts have been provided in the Revised Chart of Accounts for LGU's as prescribed in COA Circular No. 2015-009 dated December 1, 2015, thereby fairly present the actual expenditures under their proper accounts in the financial statements.

3. The Municipal Treasurer did not exercise the diligence of a good father of a family in supervising the accountable officers and designated collecting clerks under her supervision by not properly monitoring the accountable forms issued to them resulting in various unaccounted/unpresented Accountable Forms No. 51 and/or unremitted revenue collections contrary to Sections 69, 104 and 107 of Presidential Decree (P.D.) 1445 and Item B of Section 60 of the Local Treasury Operations Manual.

   We highly recommended that the Local Chief Executive require the concerned accountable officers to immediately produce and submit all accountable forms not yet reported for proper accounting and reporting. Also, we recommended strict enforcement for the immediate settlement of all their unremitted collections. Otherwise, appropriate charges may be imposed for failure to render accounts.

   We also strictly recommended that the Municipal Treasurer exercise the diligence of a good father of a family in supervising accountable officers under her control as well as accountable forms and reports to prevent the incurrence of loss of government funds and property in pursuance of Section 69, 104 and 107 of P.D. 1445 and Item B of Section 60 of the Local Treasury Operations Manual to avoid becoming jointly and severally liable together with the erring collectors and collecting clerks designated as collectors.

E. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years		2,869,126.58	-	2,869,126.58	-
Current Year	-	-	-	-	
Total	-	-		-	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Charges					

Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the nineteen (19) audit recommendations embodied in the 2017 Annual Audit Report, nine (9) were fully implemented, three (3) were partially implemented and seven (7) were not implemented as of December 31, 2018.